

HarborStone Reliability Review

Funding, covenant, regulatory and integration evidence

Area	Evidence	Assessment
Funding	\$375m cash and committed liquidity vs \$87m at close and escrow	strong coverage
Net leverage	1.65x current; 2.78x pro forma vs 4.0x limit	headroom remains
Cash generation	\$58m 2025 FCF	supports obligations
Regulatory	one medium remediation item	not transaction-blocking
Integration history	two deals exceeded budget; one six months late	execution risk
Founder retention	88% and 71% after 24 months	seller protection needed

Required seller protections

Funding certificate at signing and close, parent guarantee for earnout, seller audit rights, product-sunset acceleration, defined operating covenants, and a funded \$5m employee retention pool outside purchase price.